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A Conceptual-Referent Theory of Happiness: Heterogeneity and its Consequences^{*}

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"What is the most valuable good that can be pursued? . . . Most people are pretty much agreed about the name; for both the many and the refined call it happiness, . . . But as to what happiness is, they disagree" Aristotle, Nicomachean Ethics

1. Introduction

According to Veenhoven, "Happiness is the degree to which a person evaluates the overall quality of his present life-as-a-whole positively" (Veenhoven, 1997, p.3) He also states that "The concept of happiness denotes an *overall* evaluation of life" (p.4) and that even though it is "clear that it is the subject who makes the appraisal, it is not so clear what the subject appraises" (p.4)

This paper puts forward a theory to understand what is being appraised by the subject when answering a direct question about her happiness; it is called *The Conceptual-Referent Theory of Happiness (CRT)*. The theory states that a person has a conceptual referent for a happy life and that this referent plays a role in the judgment of her life¹ and in the appraisal of her happiness. In consequence, *CRT* claims that a person's judgment about her happiness is contingent on her conceptual referent for a happy life.

Many factors are involved when a person makes a judgment about the overall quality of her life and an appraisal of her happiness. The literature usually recognizes that this appraisal involves both affective and cognitive factors (Argyle and Martin, 1991; Argyle, 2001). Argyle states that "happiness may have somewhat separate cognitive and emotional parts" (2001, p. 10) and after reviewing some studies he affirms that "happiness can be said to have at least two components which are partly independent of each other" (2001, p. 10) Veenhoven states that "When we appraise how much we appreciate the life we live, we seem to use two sources of information: Affectively, we estimate how well we feel

^{*} This paper, and in special section 1, has benefited from long conversations with Ruut Veenhoven. I would like to express my gratitude for his help and friendship. I would also like to express my gratitude to Mark Chekola for his recommendations. The research benefited from a grant from CONACYT, Mexico, which is highly appreciated.

generally, and at the cognitive level we compare 'life as it is' with standards of 'how life should be'" (2001, p. 6)

Veenhoven (1991) discusses the issue of what is within the black box of the 'inner fabrication of happiness'; he asks the following question: "What goes on in people when they evaluate their life?" and he answers: "This inner manufacturing of happiness is a subject full of controversies: whether happiness is the product of "thinking" or of "emotion"; whether it is a "state" or a "trait"; whether it results entirely from "comparison" or results from the gratification of "needs", etc." (p. 8) He makes a distinction between mental and physical substrates and between the assessment of states and the their stabilization into traits. On the basis of this distinction, Veenhoven distinguishes four relevant areas of approaching the understanding of what is within the black box of the inner processing of happiness: *i.* A mental assessment of states, *ii.* A physical assessment of states, *iii.* A mental process of stabilization of states into traits, *iv.* A physical process of stabilization of states into traits. The first area involves the cognitive processes of comparison and making overall judgments; and the CRT is placed within this cognitive area,² and in particular within the literature about "the goals for which individuals typically strive." (Diener, 1999, p. 224; see also Emmons, 1986; and Little, 1989).

Schwarz and Strack (1991, 1999) are concerned with how people do answer a subjective well-being question; hence, they study "which information respondents use to evaluate their well being" (1991, p. 36). Schwarz and Strack focus on the role played by affective factors,³ they do state that "judgments of well-being are not only a function of what one thinks about, but also of how one feels at the time of judgment" (1991, p.36), as a person faces a complex cognitive task she employs her moods as a relevant source of reference for the appraisal.⁴ The use of moods to answer the question implies that "transient influences" do exist in the report of subjective well-being.⁵

Even though moods do influence a person's judgment of her happiness, they do not completely determine it.⁶ CRT contributes to the understanding of happiness by focusing on a more cognitive factor involved in the judgment process: A person's notion of what a happy life is, of what she understands for being well. Thus, CRT complements previous research by studying what a person thinks, rather than what she feels, at the time of appraising her life. The theory states that a person must have a conceptual referent for what a happy life is in order to appraise her life and answer a subjective well-being question.⁷ In

consequence, *CRT* states that in addition to the “transient influences” implied by the role of moods in happiness report, there is also a relatively stable underlying factor that does play a role: the respondent’s conceptual referent for happiness.

CRT also stresses the importance of heterogeneity; this is: the conceptual referent is not the same for every person. Heterogeneity in the conceptual referent provides an explanation for people behaving differently in their pursue of happiness;⁸ this is an argument that has previously been made by Diener and Fujita (1995) Therefore, heterogeneity in people’s behaviour does not necessarily imply that some people are making mistakes in their pursuit of happiness,⁹ since there are not only different paths to happiness, but also different conceptions of what a happy life is.¹⁰

CRT is empirically tested in this investigation. Data at the personal level from a large survey in Mexico is used to study the conceptual referent for happiness. First, a typology of conceptual referents for happiness is created on the basis of a review of philosophical essays on happiness. This survey is used to identify the main philosophical schools on the conception of what a happy life is; eight conceptions are identified within the large and diversified spectrum of schools of thought about what happiness is: Stoicism, Virtue, Enjoyment, Carpe Diem, Satisfaction, Utopian, Tranquillity and Fulfilment. Every philosophical approach is summarized in a simple phrase so that common people can understand and select as a referent for their reported happiness. It is shown that there is great heterogeneity in the conceptual referents for happiness; people have different conceptions of what a happy life is. It is reasonable to expect that this heterogeneity in conceptual referents for happiness leads to differences in human behaviour and paths of life.

Afterwards the investigation studies the issue of superiority in the conceptual referent for happiness. It shows that people can be equally happy even if they hold different conceptual referents; hence, no conceptual referent can be considered as superior in the sense of providing greater happiness. However, there are a few conceptual referents that are clearly inferior, in the sense that people who hold these conceptual referents tend to report lower happiness. *CRT* states that the goal of greater happiness for everybody does not imply the imposition of the same standards to everybody.¹¹ On the contrary, differences in human behaviour, and even differences in paths of life, should be socially tolerated and respected. Nevertheless, *CRT* also shows that there are a few conceptual referents which are

clearly inferior on the basis of their associated happiness.

The investigation also studies the influence of socioeconomic and demographic variables in the conceptual referent a person holds. It uses multilogit techniques to show that the probability for a person embracing a particular conceptual referent for happiness is contingent on her socioeconomic and demographic situation. The issue is important because of two reasons: First, it shows that there is a social influence in a person's notion of what a happy life is and, in consequence, in a person's judgment of her life.¹² Second, as long as socioeconomic variables do influence the conceptual referent a person holds, and as long as reported happiness is contingent on the conceptual referent, then some econometric problems arise for many studies of the determinants of happiness.¹³

The paper is structured as follows: First, section 2 explains the database and section 3 presents the distribution of happiness; the usual result of most people reporting high levels of happiness is found. Section 4 builds a typology of conceptual referents for happiness on the basis of a large review of philosophical essays about what a happy life is. Section 5 shows how the typology of conceptual referents was summarized into simple phrases to carry the empirical study. Section 6 shows that people have different conceptual referents for happiness. Section 7 uses some econometric techniques to study the issue of superiority, Is there a conceptual referent that implies greater happiness? Are there conceptual referents that imply lower happiness? It is shown that there is not a single superior conceptual referent in terms of greater associated happiness; however, there are some inferior referents. Sections 8 and 9 show that a person's conceptual referent is related to her socioeconomic and demographic situation. A multinomial logistic exercise is made to study how the probability of relating to an specific conceptual referent depends on these socioeconomic and demographic characteristics. Section 10 presents the main conclusions from the investigation, as well as some final considerations.

2. The Data Base

A survey was conducted in five states of central and south Mexico¹⁴ as well as in the Federal District (Mexico City) during October and November of 2001. A stratified-random sample was balanced by household income, gender and urban-rural areas; 1540 questionnaires were properly completed, the sample size is acceptable for inference in central Mexico.

The survey gathered information regarding the following quantitative and qualitative variables:

Demographic and Social Variables: education, age, gender, civil status, and family composition.

Economic Variables: current household income, consumption expenditure, personal income, access to public services, and household commodities.

Happiness: the following question was asked: “Taking everything in your life into consideration, How happy are you?”¹⁵ A seven-option answering scale was used. The scale’s answering options are: *extremely happy*, *very happy*, *happy*, *somehow happy*, *neither happy nor unhappy*, *unhappy*, and *very unhappy*. Happiness was handled as a cardinal variable, with values between 1 and 7; where 1 was assigned to the lowest level of happiness and 7 to the highest.

Conceptual referent for happiness: the survey also inquired about the conceptual referent to the happiness question. Once the respondent answered the happiness question, she was asked about which phrase she related happiness to.¹⁶

3. Happiness in the Survey

The distribution of happiness in the survey is not very different from the general findings in the literature.¹⁷ Most of the people are either *happy* (37.3 percent) or *very happy* (46.3 percent). Table I shows the distribution of happiness in the survey.

insert Table I about here

4. A Typology of Conceptual Referents for Happiness: Philosophical Sources

What do people mean when they say they are happy or unhappy? What do they have in mind when they appraise their life as a whole in order to answer a subjective well-being question? Does everybody have the same conceptual referent for happiness? A typology of happiness concepts was constructed to study the conceptual referent for happiness.

One of the main advantages in the study of happiness is that it is a common word in many cultures. People easily understand the word; common wisdom talks about what happiness is, about true and deceiving happiness, and about how to be happy. The subject is

central in both romantic and tragic songs; it is also common in movies and soap operas, as well as in poetry, literature, theatre plays and even in fairy tales. Having such a strong magnetism, it is of no surprise that happiness has also got the attention of philosophers everywhere and anytime. Thousands of pages have been written by philosophers about what happiness is and about the proper way to pursue it. Being a main topic of thought and debate for almost 3000 years, it is anticipated that philosophers do not agree about what a happy life is.

This investigation makes use of the work of philosophers to build a typology of conceptual referents for happiness.¹⁸ A typology of conceptual referents was created on the basis of an extensive review of philosophical essays about what happiness is.¹⁹ It is clear that philosophers hold very complex positions on many issues, and this is specially true when dealing with happiness. The objectives of the investigation asked for a clear and simplified typology; this does not imply that philosophers' views are simple; and the researcher is aware that a simplified typology is obtained at a relatively elevated cost. The typology defines eight conceptual referents for happiness, which are presented and explained in Table II.²⁰

insert Table II about here

5. Simple Phrases for Ordinary People

The words of philosophers, as sophisticated as they are, are not easily understood by common people. Thus, the conceptual referents for happiness must be presented in simple and recognizable phrases common people can relate to. A focus-group methodology was used to adapt the sophisticated philosophical statements into simple phrases that keep as much as possible of the concepts' essence and which people can easily understand.²¹ These phrases were then introduced in the questionnaire, asking the interviewees to identify their conceptual referent for happiness. It is obvious that some of the complexity and richness of each concept would be lost by their simplification. Yet, the selected phrases do proxy well their concepts and are easily recognizable by the Mexican people; which had no difficulty in choosing a single conceptual referent. Table III shows the phrases used in this investigation to describe each conceptual referent for happiness.²²

insert Table III about here

6. Heterogeneity in the Conceptual Referent

Table IV shows the distribution of the conceptual referent for happiness across people in the sample. It is found that not everybody has the same conceptual referent when responding to the happiness question. In the case of Mexico, approximately one quarter of the people in the survey related to a "*Happiness is being satisfied with what I have and what I am*" referent (*Satisfaction*). Next in importance are referents such as: "*Happiness is accepting things as they are*" (*Stoicism*) and "*Happiness is to enjoy what one has attained in life*" (*Enjoyment*). However, the important issue is not which referents were selected the most, but the fact that there is a great dispersion in the conceptual referent for happiness across people.

insert Table IV about here

7. Is there a Superior Conceptual Referent for Happiness?

This paper argues for the convenience of making a distinction between two concepts that are involved in the process of a person's appraisal of her life: the happiness a person declares, and the conceptual referent she uses to appraise her life. It has been shown that people do not have the same conceptual referent for happiness. Hence, the following question becomes relevant: Is there a superior conceptual referent? A conceptual referent is said to be superior if it implies greater happiness with respect to the other referents. The discussion about the existence of a superior referent is deep-rooted; in the philosophical literature it is generally placed in terms of a debate between "true" versus "false" happiness.²³ It is argued that "true" happiness really increases happiness while "false" happiness is deceiving, because people are not happy. There are also public policy implications from this debate: If there exists a superior referent then it would be possible to elaborate an ethical case in favour of modifying a person's conceptual referent to increase her happiness.²⁴

The analysis in this section provides an empirical, rather than doctrinal, answer to the old debate: A conceptual referent should be associated to greater happiness in order to be considered as superior. People in the survey were classified according to their conceptual referent for happiness and some descriptive statistics were calculated. Table V shows the average happiness for people in each conceptual referent, as well as the standard deviation. It is observed that average happiness is 5.4 (in a 1 to 7 scale) for the whole population in the survey. Average happiness is greater for people with conceptual referents

such as *satisfaction*, *enjoyment* and *tranquillity*. On the other hand, people with referents such as *carpe diem* and *utopian* declare lower happiness, as an average.

insert Table V about here

Thus, conceptual referents such as *satisfaction*, *enjoyment* and *tranquillity* could be superior with respect to referents such as *carpe diem* and *utopian*. However, the differences in average happiness across referents are not large enough to make definite conclusions. Besides, these differences could occur because of many reasons; such as the socioeconomic and demographic situation of persons in every conceptual-referent group. Hence, a regression analysis was used to control for other explanatory variables; allowing for a study of the direct impact of the conceptual referent a person holds on her happiness. This analysis tests whether a conceptual referent implies greater happiness for a person, assuming that the other explanatory variables of happiness are identical across persons. Thus, the following regression was run:

$$H = \alpha_0 + \alpha_1 Y + \alpha_2 Gen + \alpha_3 Age + \alpha_4 Edu + \sum_{i=1}^4 \varphi_i Soc_i + \sum_{i=1}^5 \delta_i Civ_i + \sum_{i=1}^7 \beta_i CR_i + \mu \quad (1)$$

where:

H : refers to happiness in a 1 to 7 scale.

Y : refers to household income in thousands of Mexican pesos.

Gen : is a dichotomous variable for gender.

Age : refers to the age of the person in years.

Edu : refers to the highest educational degree of the person.

Soc_i : is a vector of four variables that describe the socioeconomic position of a person. These variables were constructed using a principal-component technique, and they incorporate a lot of information about size of the house, access to public services, and ownership of durable goods.

Civ_i : is a vector of five dichotomous variables that describe the civil status of a person (married, stable partner, separated, divorced, and widowed; *single* is the category of reference)

CR_i : is a vector of seven dichotomous variables that describe a person's conceptual referent for happiness. *Satisfaction* is the category of reference.

Thus, this regression analysis allows to study how a person's conceptual referent is related to her happiness. The analysis controls for a person's socioeconomic situation

(family income and socioeconomic situation) and for her demographic situation (age, education, civil status, and gender). Therefore, it is possible to test whether a conceptual referent is associated to greater or lower happiness. The relevant coefficients for the analysis are the β parameters; Table VI shows their estimated values, as well as the probability greater than the t statistic.

insert Table VI about here

Satisfaction is the category of reference in this regression analysis;²⁵ then, the estimated parameters shown in Table VI indicate the deviation in happiness with respect to those persons with a *satisfaction* referent for happiness. It is observed that under identical socioeconomic and demographic conditions, a person who has a *satisfaction* referent does not declare higher happiness than a person with a conceptual referent for happiness such as *stoicism*, *virtue*, *enjoyment*, and *tranquillity*.²⁶ When the conceptual referents are ranked on the basis of their associated happiness it is impossible to find a single referent that is clearly at the top. From a statistical point of view people with conceptual referents such as *tranquillity*, *satisfaction*, *enjoyment*, *virtue* and *stoicism* declare equal happiness.²⁷ Thus, there is no superior conceptual referent for happiness.

The results from the analysis do show that conceptual referents such as *utopian* and *carpe diem* are clearly inferior. A person with referents such as *utopian* or *carpe diem* declares lower happiness than persons with referents such as *tranquillity*, *satisfaction* and *enjoyment* and *virtue*.²⁸ There is also some indication that persons with a *fulfilment* referent do also declare lower happiness.

A Wald test was used to make comparisons among estimated parameters.²⁹ On the basis of the Wald test it is possible to distinguish three groups of conceptual referents according to their associated happiness: The *tranquillity*, *satisfaction*, *enjoyment*, and *virtue* conceptual referents are associated to greater happiness; not far away are the *stoicism* and *fulfilment* conceptual referents; while the *utopian* and *carpe diem* referents are clearly associated to lower happiness.

8. Socioeconomic and Demographic Variables and the Conceptual Referent

This section presents an exploratory analysis on the relationship between some socioeconomic and demographic variables and the conceptual referent for happiness. Results from this section can not be considered as definite, because some relations could be spurious.³⁰

Table VII shows the distribution of people in the sample across conceptual referents by income category. A χ^2 test is run to test the null hypothesis, which states that income does not make a difference on the distribution across conceptual referents. The null hypothesis is rejected and it is found that income does make a difference. As income increases, referents such as *stoicism*, *tranquillity* and *carpe diem* seem to lose importance in favour of referents such as *satisfaction* and *fulfilment*.³¹

insert Table VII about here

Table VIII shows the distribution across conceptual referents by level of education. The χ^2 test shows that education does make a difference. The relative importance of referents such as *stoicism*, *enjoyment*, and *tranquillity* tends to decline with education, while the importance of referents such as *satisfaction* and *fulfilment* tends to increase.

insert Table VIII about here

Age seems to be another influential variable in the determination of the conceptual referent people use to appraise their life as a whole.³² The χ^2 test shows that age does make a difference. Table IX indicates that people turn towards conceptual referents such as *virtue*, *utopian* and *tranquillity* as they become older, while referents such as *carpe diem*, *satisfaction* and *fulfilment* are relatively more important for young people.

insert Table IX about here

Gender does not seem to make a difference in the distribution of conceptual referents for happiness, as it is seen in Table X. The χ^2 test of no difference across gender can not be rejected.

insert Table X about here

9. The Conceptual Referent and the Socioeconomic and Demographic Situation

A multilogit exercise is used to further study the influence of income, gender, age and education on a person's conceptual referent for happiness. A multilogit approach has the advantage of recognizing the complexity behind the determination of the conceptual referent a person holds. It implies that the drive to relate to an specific referent obeys an underlying stochastic process rather than a deterministic one. It also implies that the impact of any explanatory variable on the probability of relating to a specific referent is conditional on the values of the other explanatory variables.

The main hypothesis is that the conceptual referent for happiness is socially influenced: A person's socioeconomic and demographic situation influences her probability

of relating to a specific conceptual referent.³³

The following multinomial logistic model was estimated:

$$\begin{aligned}
 P_{ij} &= \frac{\exp(\alpha_j + \beta_j X_i)}{1 + \sum_{j=1}^8 \exp(\alpha_j + \beta_j X_i)} & j=1, \dots, 8 \quad j \neq 5 \\
 P_{ij} &= \frac{1}{1 + \sum_{j=1}^8 \exp(\alpha_j + \beta_j X_i)} & j=5
 \end{aligned} \tag{2}$$

where:

P_{ij} refers to person i 's probability of relating to the conceptual referent j .

$j = 1, 2, 3, \dots, 8$, refers to the eight conceptual referents for happiness:

1 for *stoicism*

2 for *virtue*

3 for *enjoyment*

4 for *carpe diem*

5 for *satisfaction* (which is the category of reference in the analysis)

6 for *utopian*

7 for *tranquillity*

8 for *fulfilment*

X_i is a vector of socioeconomic and demographic explanatory variables for person i .

Gender, age, education, and income were used as explanatory variables.

α_j and β_j are parameters to be estimated. Notice that β_j refers to a vector of parameters which multiply the vector of explanatory variables.

The specification of the probabilities ensures that the eight categories completely exhaust a person's options, in mathematical terms:

$$\sum_{j=1}^8 P_{ij} = 1 \quad \forall i$$

The parameters were estimated using a multilogit technique with *Stata* econometric software. It is not appropriate to venture into a direct interpretation of the estimated coefficients because the influence of any explanatory variable on the probability of relating to a specific conceptual referent is conditional on the values of the other explanatory variables. Thus, a table with the estimated parameters is not shown because of the difficulty in their interpretation. Instead, a comparative exercise is made: The estimated

parameters are used to calculate the probability of relating to each conceptual referent for persons with different socioeconomic and demographic characteristics. Table XI shows the results from this exercise for different representative persons according to their age, income, education and gender; it shows the probability of relating to each one of the eight conceptual referents. Notice that for every representative person the sum of probabilities must be equal to one.³⁴

insert Table XI about here

Table XI is rich in information and it deserves a thorough study. However, the following comments focus only on the importance of the socioeconomic and demographic variables in explaining the probability of person relating to each conceptual referent.

a. *Stoicism*: The probability for a person of associating herself to a *happiness-is-accepting-things-as-they-are* conceptual referent is highly influenced by her education level. As education increases, the probability of relating to a *stoicism* conceptual referent tends to decrease, independently of age, income and gender. Thus, people with lower education have a higher probability of being stoic. The probability of being stoic also increases with income; however, income's influence is relatively smaller for people with higher education and for females. In equal circumstances of income, age, and education, women tend to have lower probabilities of being stoic than men. In Table XI the probability of relating to a *stoicism* conceptual referent goes from 7.5 percent for a 65 years old woman with university education and low income, to 30.1 percent for a 20 years old man with primary education and high income levels. In conclusion, this conceptual referent is highly sensitive to the socioeconomic and demographic variables, specially to education.

b. *Virtue*: The probability for a person of associating herself to a *happiness-is-a-sense-of-acting-properly-in-our-relations-with-others-and-with-ourselves* conceptual referent is strongly related to age. This probability tends to increase with age, specially for men. Besides, the probability of associating to a *virtue* referent is greater for men, and for highly educated people. Thus, in addition to age, gender and education do also play a role. Income does not seem to be a relevant variable; even though the probability slightly declines with income, it is possible to find low and high probabilities at all income levels. In Table XI this probability goes from 3.7 percent for a young female with high income and low education to 18.6 percent for an older male with university studies and low income.

c. *Enjoyment*: Income and education are relevant variables in explaining the probability of associating to this conceptual referent. The probability for a person of associating herself to a *happiness-is-to-enjoy-what-one-has-attained-in-life* conceptual referent tends to increase with income and to decline with education. Under identical socioeconomic circumstances, females do have slightly greater probabilities than men. Age does have a negligible influence. In Table XI the probability of associating to this conceptual referent goes from 12.1 percent for a 45 years old male with high education and low income to 20.5 percent for a 65 years old female with low education and high income.

d. *Carpe diem*: The probability for a person of associating herself to a *happiness-is-to-seize-every-moment-in-live* conceptual referent is very high for young people with low income. This probability substantially declines with income, especially for young people. Age does also have an important influence on the probability of associating to a *carpe diem* referent. Gender and education are not so relevant as explanatory variables. This probability shows high dispersion, with values from 2.3 percent for a 65 years old female with high education and high income, to 20.0 percent for a 20 years old male with low education and low income.

e. *Satisfaction*: The probability for a person of associating herself to a *happiness-is-being-satisfied-with-what-I-have-and-what-I-am* conceptual referent is relatively high for all kinds of persons. Education is a determinant variable; not only it has a great positive influence on this probability, but it can also overcome the negative impact of other explanatory variables. Thus, people with education tends to have higher probabilities independently of income, age and gender. Income does have a small negative impact; however, it is not a determinant explanatory variable, because it is possible to find people with high and low probabilities for all income levels; as well as for all ages and gender. In Table XI this probability varies from 11.0 percent for a 65 years old male with high income and low education to 34.7 percent for a 45 years old female with low income and high education.

f. *Utopian*: The probability for a person of associating herself to a *happiness-is-an-unreachable-ideal-we-can-only-try-to-approach* conceptual referent is greatly influenced by age and income. The probability of being utopian increases as people become older; it also increases with income. Gender and education do not seem to be important explanatory variables. This probability shows great variability in Table XI, with values from 4.4 percent

for a 20 years old male with low education and low income, to 20.3 percent for a 65 years old highly educated female with high income.

g. *Tranquillity*: The probability for a person of associating herself to a *happiness-is-in-living-a-tranquil-life,-not-looking-beyond-what-is-attainable* conceptual referent is strongly influenced by a person's education; with the probability declining as education increases. Income does also have a negative influence on this probability.³⁵ Age and gender do not play an influential role. This probability shows great dispersion in Table XI, with values ranging from 2.3 percent for a 45 years old male with high income and high education, to 18.9 percent for a 65 years old female with low income and low education.

h. *Fulfilment*: The probability for a person of associating herself to a *happiness-is-in-fully-exercising-our-capabilities* conceptual referent is strongly influenced by her education level. As a person's education level increases she is more likely of associating to a *fulfilment* referent. Gender, age, and income are not very influential variables. This probability tends to slightly decline with age and slightly increase with income; and it is slightly lower for women. In Table XI the probability goes from 4.4 percent for a 65 years old female with low education and low income to 17.5 percent for a 45 years old male with high education and high income.

10. Final Considerations

This paper puts forward the *Conceptual Referent Theory of Happiness*, which studies what is being appraised by a person when answering a direct question about her happiness.

Many factors are implicated when a person makes a judgment about the overall quality of her life and an appraisal of her happiness. The literature usually recognizes that this appraisal involves both emotive and cognitive factors. The role of emotive factors have been widely studied. *The Conceptual Referent Theory* contributes to the understanding of happiness by focusing on a cognitive, rather than affective, factor involved in the judgment process: A person's notion of what a happy life is, of what she understands for being well.

The theory states that every person has a conceptual referent for a happy life and that this referent plays a role in the judgment of her life and in the appraisal of her happiness. In consequence, *The Conceptual Referent Theory* claims that a person's judgment about her happiness is contingent on her conceptual referent for being well.

Because a person's conceptual referent for happiness is relatively stable, *The Conceptual Referent Theory* states that in addition to the "transient influences" implied by the role of moods in the report of happiness, there is also a relatively stable underlying factor that does play a role: the respondent's conceptual referent for happiness.

The Conceptual Referent Theory stresses the importance of heterogeneity; this is: the conceptual referent for happiness is not the same for every person. Persons may have different conceptions of what being well is. In this sense, *The Conceptual Referent Theory* breaks up with the universalism assumption, which claims that everybody has the same conception of what a happy life is and the same explanatory structure. By asking people directly about their conceptual referent for happiness, and by accepting diversity, *The Conceptual Referent Theory* follows an inferential approach, rather than the typical philosophical and doctrinal approach.

A typology of conceptual referents is constructed on the basis of a review of philosophical essays on happiness. Eight referents were defined. It is recognized that there can be some debate about the construction of the typology's categories, and it is obvious that further research would be valuable. However, what is important is to accept the existence of diversity in the conceptual referent for happiness, not everybody has the same notion of what being well is. Besides, research shows that the eight referents imply a good partitioning of the sample according to their explanatory structure of happiness.

It is found that people do differ in their conceptual referent for happiness. People do not have in mind the same conceptual referent when answering a subjective well-being question. Hence, the analysis shows that there is heterogeneity in people's referent of what a happy life is. Besides, the concept of what a happy life is does have an influence in a person's appraisal of her happiness.

There is no single conceptual referent that can be associated to greater happiness. However, some conceptual referents imply greater happiness than others. This result provides an empirical answer to the old debate about "true" versus "false" happiness. The result shows that there are many conceptual referents which are associated to greater happiness, these referents could be considered as "true" happiness or correct notions of a good life. On this basis, *The Conceptual Referent Theory* implies that tolerance and respect for human diversity must be encouraged, because there is more than one referent that can be considered as "true". On the other hand, there are a few conceptual referents that are

associated to lower happiness; hence, they could be considered as “false” conceptions of being well.

Even though the investigation answers some questions, new questions arise; for example: How a person’s conceptual referent for happiness can be changed? What is the role of the social context in the determination of a person’s conceptual referent? Is it ethical to attempt to change a person’s conceptual referent for happiness in order to increase her happiness in life?

The investigation shows that factors such as age, gender, income and education do have an influence in the probability of relating to some conceptual referents. Thus, socioeconomic and demographic variables do influence the way in which happiness is appraised. This result implies that econometric studies on the explanatory variables of happiness must distinguish between their direct impact on happiness and their indirect impact, which takes place through a change in the conceptual referent used to appraise a person’s happiness.

Some issues about causality remain unanswered. For example, it could be that a person’s education and income do influence her conceptual referent for happiness. However, it could be the other way around, this is, a person’s conceptual referent for happiness does influence her behaviour in the pursuit of happiness and, in consequence, affects the education and income levels she wants to attain.

The existence of heterogeneity in human values, ideas and conceptual referents should not be of any surprise to any human being. However, the reasons for heterogeneity in conceptual referents across persons needs further study. Why do people have different conceptual referents? Is it a matter of culture, upbringing, education, life experiences, exposition to social influences? Does the distribution of people along conceptual referents varies across countries?

The typology about conceptual referents developed in this investigation should not be considered as definite. It has proven to be useful in segmenting the sample according to the explanatory structure of happiness; in addition, it is based on a large review of what philosophers have thought about happiness. However, further research on the construction of a typology would be valuable. Moreover, questions such as the possibility for a person of leaning towards two or more conceptual referents need to be addressed.

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Table I Distribution of Happiness	
Happiness	Percentage
Very Unhappy	0.2
Unhappy	1.1
Neither Happy nor Unhappy	3.6
Somehow Happy	6.0
Happy	37.3
Very Happy	46.3
Extremely Happy	5.5
	100.0

Table II Typology: The Conceptual Referent for Happiness		
<i>Conceptual Referent</i>	<i>Some References</i>	<i>Brief Description</i>
Stoicism	Marco Aurelio, Epictetus.	Happiness is a permanent state of contentment with life and with what happens in life. This state implies renunciation, austerity, acceptance, and resignation; taking things as they are and as they come out.
Virtue	Socrates, Descartes, Saint Thomas of Aquino.	Happiness is a spiritual state produced by the feeling of acting properly, according to one's consciousness.
Enjoyment	Hedonism and Utilitarianism of Bentham, Mill, La Mettrie. Positivism of Comte.	Happiness is joyfulness and absence of pain, it is the enjoyment of those goods that provide comfort. It is the satisfaction of all human needs and wants.
<i>Carpe diem</i>	Erasmus	Happiness is the present pleasure and gratification, it is about enjoying now as much as possible.
Satisfaction	Psychological approaches, Argyle, Sumner	Happiness is a feeling of life's elation that comes with an intuitive judgment about oneself and about one's surrounding world.
Utopian	Plato, Thomas Moro, Kant, Kierkegaard, Bloch.	Happiness is an ideal that guides human action. It is perfection itself conceptualised as the synthesis of virtue and pleasure. It is a desired, yet unreachable good, at least in this life.
Tranquillity	Epicurus, Diogenes, Adam Smith.	Happiness is a state of tranquillity, the absence of worries that takes place with prudence, moderation, measurement, and judicious wants.
Fulfilment	Aristotle, Chuang Tzu	Happiness is the realization of our nature and the fulfilment of our essence as human beings. Happiness is in that activity that constitutes the ultimate goal of each human being.

Source: Elaborated by the author on the basis of Rodríguez (2001)

Table III The Conceptual Referent for Happiness: Simple Phrases	
Conceptual Referent	Simple Phrase
Stoicism	<i>"Happiness is accepting things as they are"</i>
Virtue	<i>"Happiness is a sense of acting properly in our relations with others and with ourselves"</i>
Enjoyment	<i>"Happiness is to enjoy what one has attain in life"</i>
<i>Carpe diem</i>	<i>"Happiness is to seize every moment in life"</i>
Satisfaction	<i>"Happiness is being satisfied with what I have and what I am"</i>
Utopian	<i>"Happiness is an unreachable ideal we can only try to approach"</i>
Tranquillity	<i>"Happiness is in living a tranquil life, not looking beyond what is attainable"</i>
Fulfilment	<i>"Happiness is in fully exercising our capabilities"</i>

Source: Elaborated by the author on the basis of Rodríguez (2001)

Table IV Conceptual Referent for Happiness sample distribution across referents	
<i>Conceptual Referent</i>	<i>Percentage</i>
Stoicism	14.6
Virtue	8.2
Enjoyment	14.0
<i>Carpe diem</i>	11.6
Satisfaction	24.2
Utopian	7.7
Tranquillity	8.1
Fulfilment	11.7
Total	100.0

Table V Happiness by Conceptual Referent Average and Standard Deviation in a 1 to 7 scale		
Conceptual Referent	Average	Standard deviation
Stoicism	5.32	1.03
Virtue	5.41	0.89
Enjoyment	5.47	0.83
Carpe diem	5.25	0.92
Satisfaction	5.54	0.92
Utopian	5.19	0.96
Tranquillity	5.45	0.86
Fulfilment	5.35	1.09
Total	5.40	0.95

Table VI Conceptual Referents and Happiness* Estimated parameters**		
	Coefficient β_i	Probability > t
Stoicism	-0.0691	0.39
Virtue	-0.0364	0.71
Enjoyment	-0.0234	0.77
Carpe Diem	-0.1980	0.02
Utopian	-0.2240	0.03
Tranquillity	0.0478	0.63
Fulfilment	-0.1020	0.23

* *Satisfaction* is the category of reference. Thus, the estimated parameters show the deviation in happiness for a person holding each conceptual referent with respect to a person holding a *satisfaction* conceptual referent, all other factors identical.

** Only the relevant estimated parameters are shown (parameters β_i). The regression analysis included more explanatory variables, as it is shown in equation (1)

Table VII Distribution across Conceptual Referents for Happiness by household income ranges*, in percentage points						
Concept	0-2000	2001-4000	4001-12000	12001-22000	22001 and more	Totality
Stoicism	19.5	16.0	13.8	13.2	7.5	14.6
Virtue	8.8	7.8	8.5	8.3	6.5	8.1
Enjoyment	11.9	16.3	13.8	13.2	14.0	14.0
Carpe diem	12.4	12.1	11.9	9.0	6.5	11.6
Satisfaction	15.5	22.0	25.9	36.8	21.5	24.3
Utopian	7.5	6.5	8.1	4.2	17.2	7.7
Tranquillity	17.3	9.0	5.5	4.2	4.3	8.1
Fulfilment	7.1	10.3	12.4	11.1	22.6	11.7
Total	100.0	100.0	100.0	100.0	100.0	100.0
Pearson χ^2 (28) = 105.624 Pr = 0.00						

* monthly household income in Mexican pesos; the approximate exchange rate at the time of the survey was 9.30 Mexican pesos for one U.S. dollar.

Table VIII Distribution across Conceptual Referents for Happiness by person's education level, in percentage points					
Conceptual Referent	Primary	Secondary	High School	University	Totality
Stoicism	19.6	16.6	14.2	9.5	14.6
Virtue	7.0	8.9	8.3	8.9	8.1
Enjoyment	17.8	13.9	15.2	10.3	14.0
Carpe diem	11.2	13.9	14.5	9.5	11.6
Satisfaction	13.6	23.8	23.4	32.1	24.3
Utopian	7.7	5.3	6.3	8.9	7.7
Tranquillity	16.4	7.9	6.3	3.7	8.1
Fulfilment	6.6	9.6	11.9	17.1	11.7
Total	100.0	100.0	100.0	100.0	100.0
Pearson χ^2 (28) = 163.358 Pr = 0.00					

Table IX Distribution across Conceptual Referents for Happiness by age in years, in percentage points					
Concept	18- 30	31 - 45	46 – 65	greater than 65	Totality
Stoicism	14.4	13.1	18.1	14.0	14.6
Virtue	6.2	8.9	9.9	17.5	8.2
Enjoyment	12.3	14.9	16.7	12.3	14.0
Carpe diem	14.0	11.5	7.8	3.5	11.6
Satisfaction	27.2	23.8	19.5	15.8	24.2
Utopian	7.2	6.3	9.2	17.5	7.7
Tranquillity	5.6	8.7	11.0	17.5	8.1
Fulfilment	13.2	12.9	7.8	1.8	11.7
Total	100.0	100.0	100.0	100.0	100.0
Pearson χ^2 (28) = 68.672 Pr = 0.00					

Table X Sample Distribution across Conceptual Referent for Happiness by gender, in percentage points			
Concept	Woman	Man	Totality
Stoicism	13.5	15.6	14.6
Virtue	6.8	9.4	8.2
Enjoyment	14.7	13.4	14.0
Carpe diem	11.4	11.8	11.6
Satisfaction	25.9	22.8	24.2
Utopian	8.3	7.1	7.7
Tranquillity	8.9	7.4	8.1
Fulfilment	10.6	12.5	11.7
Total	100.0	100.0	100.0
Pearson χ^2 (28) = 9.365 Pr = 0.227			

Table XI Probability of Relating to a Specific Conceptual Referent for Happiness For representative persons with socioeconomic and demographic characteristics in percentage points									
	Stoicism	Virtue	Enjoyment	Carpe diem	Satisfaction	Utopian	Tranquillity	Fulfillment	Total
Man, 20 years old, primary school, income 2000	21.7	5.3	13.2	20.0	16.0	4.4	10.7	8.7	100
Man, 20 years old, primary school, income 12000	24.0	5.2	14.1	17.2	15.5	5.1	9.6	9.4	100
Man, 20 years old, primary school, income 40000	30.1	4.6	16.0	10.8	13.7	7.3	6.6	10.9	100
Woman, 20 years old, primary school, income 2000	19.0	4.2	14.8	18.1	18.2	5.5	12.5	7.6	100
Woman, 20 years old, primary school, income 12000	21.0	4.1	15.8	15.6	17.7	6.4	11.2	8.2	100
Woman, 20 years old, primary school, income 40000	26.4	3.7	18.0	9.8	15.6	9.2	7.8	9.5	100
Man, 20 years old, high school, income 2000	15.1	6.4	12.2	18.7	23.8	4.9	5.8	13.3	100
Man, 20 years old, high school, income 12000	16.6	6.2	12.9	16.1	23.1	5.7	5.2	14.2	100
Man, 20 years old, high school, income 40000	21.0	5.6	14.8	10.1	20.3	8.1	3.6	16.6	100
Woman, 20 years old, high school, income 2000	13.1	5.1	13.5	16.9	27.0	6.1	6.7	11.5	100
Woman, 20 years old, high school, income 12000	14.5	5.0	14.4	14.5	26.2	7.1	6.0	12.4	100
Woman, 20 years old, high school, income 40000	18.3	4.4	16.4	9.1	23.1	10.1	4.2	14.4	100
Man, 45 years old, primary school, income 2000	21.2	9.3	15.5	10.8	15.2	6.9	14.2	6.8	100
Man, 45 years old, primary school, income 12000	23.2	9.0	16.3	9.2	14.6	7.9	12.6	7.2	100
Man, 45 years old, primary school, income 40000	28.4	7.8	18.1	5.6	12.5	11.0	8.5	8.1	100
Woman, 45 years old, primary school, income 2000	18.3	7.3	17.0	9.6	17.1	8.5	16.4	5.8	100
Woman, 45 years old, primary school, income 12000	20.0	7.1	17.9	8.2	16.4	9.7	14.5	6.2	100
Woman, 45 years old, primary school, income 40000	24.5	6.1	19.9	5.0	14.1	13.6	9.8	7.0	100
Man, 45 years old, high school, income 2000	14.9	11.4	14.4	10.2	23.0	7.8	7.8	10.5	100
Man, 45 years old, high school, income 12000	16.3	11.0	15.2	8.7	22.0	8.9	6.9	11.1	100
Man, 45 years old, high school, income 40000	20.0	9.5	16.8	5.3	18.9	12.3	4.6	12.5	100
Woman, 45 years old, high school, income 2000	12.9	8.9	15.9	9.1	25.7	9.6	9.0	9.0	100
Woman, 45 years old, high school, income 12000	14.0	8.6	16.7	7.7	24.7	10.9	7.9	9.5	100
Woman, 45 years old, high school, income 40000	17.1	7.4	18.4	4.7	21.1	15.2	5.3	10.7	100
Man, 45 years old, graduate studies, income 2000	9.5	12.5	12.1	8.7	31.1	7.8	3.8	14.5	100
Man, 45 years old, graduate studies, income 12000	10.3	12.1	12.7	7.4	29.8	8.9	3.4	15.3	100
Man, 45 years old, graduate studies, income 40000	12.7	10.5	14.2	4.5	25.7	12.6	2.3	17.5	100
Woman, 45 years old, graduate studies, income 2000	8.1	9.8	13.2	7.7	34.7	9.6	4.4	12.4	100
Woman, 45 years old, graduate studies, income 12000	8.8	9.4	13.9	6.6	33.3	11.0	3.9	13.1	100
Woman, 45 years old, graduate studies, income 40000	10.9	8.2	15.4	4.0	28.6	15.4	2.6	14.9	100
Man, 65 years old, primary school, income 2000	19.4	13.6	16.3	6.2	13.6	9.2	16.6	5.2	100
Man, 65 years old, primary school, income 12000	21.1	13.1	17.1	5.2	13.0	10.4	14.6	5.4	100
Man, 65 years old, primary school, income 40000	25.6	11.2	18.8	3.1	11.0	14.4	9.8	6.1	100
Woman, 65 years, primary school, income 2000	16.5	10.6	17.8	5.4	15.1	11.2	18.9	4.4	100
Woman, 65 years, primary school, income 12000	18.0	10.2	18.7	4.6	14.5	12.8	16.7	4.6	100
Woman, 65 years, primary school, income 40000	21.8	8.7	20.5	2.8	12.3	17.6	11.2	5.2	100
Man, 65 years old, high school, income 2000	13.8	16.8	15.3	5.9	20.7	10.4	9.1	8.0	100
Man, 65 years old, high school, income 12000	14.9	16.1	16.1	5.0	19.7	11.8	8.0	8.4	100
Man, 65 years old, high school, income 40000	18.1	13.7	17.5	3.0	16.7	16.2	5.4	9.4	100
Woman, 65 years old, high school, income 2000	11.8	13.1	16.8	5.2	23.1	12.7	10.5	6.8	100
Woman, 65 years old, high school, income 12000	12.8	12.5	17.5	4.4	22.0	14.5	9.2	7.2	100
Woman, 65 years old, high school, income 40000	15.3	10.6	19.0	2.6	18.5	19.8	6.1	8.0	100
Man, 65 years old, graduate studies, income 2000	8.8	18.6	13.0	5.0	28.3	10.6	4.5	11.2	100
Man, 65 years old, graduate studies, income 12000	9.5	17.8	13.6	4.3	27.0	12.0	4.0	11.8	100
Man, 65 years old, graduate studies, income 40000	11.6	15.4	14.9	2.6	23.0	16.7	2.7	13.3	100
Woman, 65 years old, graduate studies, income 2000	7.5	14.5	14.2	4.5	31.6	13.0	5.2	9.5	100

Woman, 65 years old, graduate studies, income 12000	8.1	13.9	14.8	3.8	30.1	14.7	4.5	10.1	100
Woman, 65 years old, graduate studies, income 40000	9.8	11.9	16.2	2.3	25.4	20.3	3.0	11.2	100

Note: Probabilities are calculated on the basis of the estimated parameters from equation (2)

¹ Notice that *CRT* is interested in happiness in its life-use conception (having a happy life, a person's overall judgment of her life), rather than in its feeling-use conception (a certain particular joyful, profound, and non lasting experience). See Tatarkiewicz (1976), McFall (1989), and Chekola (1974)

² As Lyubomirsky (2001) states "As many psychologists and philosophers have noted, people do not only experience events or situations passively. Rather, all life events are 'cognitively processed' (Scarr, 1988, p. 240) – that is, construed and framed, evaluated and interpreted, contemplated and remembered (Bruner, 1986; Ross, 1990) – so that each individual may live in a separate subjective social world" (p.240)

³ They summarize a large set of psychological research which emphasizes the role of moods on judgment of subjective well-being.

⁴ Schwarz and Strack (1991) also mention the role of time perspective and emotional involvement. They also postulate a *principle of cognitive accessibility*, which states that people use information that is in their referent (accessible) at the moment of responding, as well as information which is easy to access.

⁵ Under Schwarz and Strack approach, the focus shifts to the study of moods and to how moods arise and vanish (Morris, 1999)

⁶ Schwarz and Strack (1991, 1999) report correlations that are significant but not determinant. Therefore, even though moods and emotions do influence reported happiness, they do not exhaust the understanding of a person's appraisal of her life; there is more in the declared happiness than an emotional state.

⁷ Thus, *CRT* is directly concerned with the process through which a person makes a judgment of her well-being, rather than with the answering process itself. A conceptual referent for a happy life is needed to make a judgment and to express a reported happiness, even in the case of a quick judgment.

⁸ Rojas (2004a) shows that the heterogeneity in the conceptual referent also extends to the explanatory structure of happiness. This means that the set of variables and the nature of the relationship that explains a person's happiness is also contingent on her conceptual referent. Some explanatory factors are relevant for some people but not for others, and this depends on their conceptual referent. This fact contributes to explain why people may follow different paths in their pursue for a happy life. Thus, *CRT* breaks up with the universality assumption, which states that the explanatory structure of happiness is identical for everybody. This result also supports the claim that conceptual referents are not notions people's attribute their happiness to. If conceptual referents were attributions then they would have no real impact on the explanatory structure of happiness.

⁹ The statement does not reject the possibility of a person making systematic mistakes in her pursuit of happiness. It just states that to show that two or more persons are behaving differently is not sufficient proof of somebody making a mistake in her pursuit of happiness.

¹⁰ *The Conceptual Referent Theory of Happiness* is based on a nested model of well-being, which starts from the concept of being and then moves toward the issue of having the conditions for being. First, well-being is appraised on the basis of a person's notion of what being well is; second, well-being is attained by having the conditions for being well. *The Conceptual Referent Theory* addresses the issue of being (what being well is), while the studies of explanatory factors of happiness address the issue of what conditions are required for being well (having for being). The conditions required for being well do depend on the notion of what being well is. By introducing heterogeneity in the notion of what being well is, *The Conceptual Referent Theory* also introduces heterogeneity in the conditions required for being well (Rojas, 2004a)

¹¹ Universalism has been a common assumption of ideologies and doctrines. McFall (1988: p.3-4) refers to the status of happiness as a good and states that "the problem of happiness can be interpreted as a dispute about how best to live." *CRT* implies that there is no single answer to the question on the best way to live.

¹² It could then be possible to imagine social factors that promote conceptual referents for happiness that are inferior and lead to lower happiness for some sectors of the population. In addition, people's behaviour and paths of life in their procurement of happiness could also be socially influenced.

¹³ Regression analysis is a common technique used by many studies that attempt to explain happiness. These studies usually run a regression with happiness as the dependant variable and a vector of socioeconomic and demographic variables as independent. The technique takes advantage of the variability in

the independent variables to estimate their impact on happiness. However, *CRT* states that a person's judgment about her happiness depends on her conceptual referent, and that her conceptual referent does depend on some socioeconomic and demographic variables, which are considered as independent variables in the regression analysis. In consequence, when socioeconomic and demographic variables change there are two effects on happiness: First, a direct impact related to how happiness varies in response to changes in socioeconomic and demographic variables and, second, an indirect impact related to how happiness varies in response to a change in the conceptual referent, which takes place when the variables change. These two effects are comprised in the estimated parameters from a regression analysis.

¹⁴ The states are: Oaxaca, Veracruz, Puebla, Tlaxcala and the State of Mexico. The survey was applied in both rural and urban areas. The author acknowledges the support of a grant from CONACYT, Mexico, to finance the application of the survey.

¹⁵ The survey also gathered information for a different question: "Please, try to make a recollection of all your life, How would you say your life has been?" The same seven-option answering scale was used. The main results from the investigation do also show up when this question is used.

¹⁶ This variable will be further explained in sections 4 and 5.

¹⁷ See Argyle, 1999, 2002; Veenhoven, 1992; Diener and Diener, 1996.

¹⁸ It is important to state that the paper focuses on the conceptual referent for happiness (what happiness is), rather than on the doctrinal approach about how to become a happy person. An inferential approach should be followed to discuss the issue of how to become a happy person (Rojas 2004b explains the need for an inferential approach) The philosophers' work on what happiness is both reflects -in a very refined way- and inspires the common wisdom that resonates in the minds of ordinary people and which influences their pursuit of happiness. That is why this investigation opts for using the philosopher's work as a point of departure in building a typology of conceptual referents for happiness.

¹⁹ The author is grateful to Lourdes Rodríguez for her work in the construction of the philosophical survey (Rodríguez, 2001). Being the topic so widely discussed, this survey can not claim to be exhaustive.

²⁰ The main objective for creating a typology is to reduce and condense a large set of issues into a simple classification, which can be used for research purposes. It is obvious that some of the richness of the philosophical debate is lost in the process of simplification. In addition, a philosopher's thought is very complex, and Table 2 can not capture such a complexity; therefore, the placement of a philosopher's thought in the typology must be considered as a source of inspiration rather than a categorical affirmation about his position; the investigation's objectives require it to be so.

²¹ An original set of phrases was defined by the author; Afterwards, the phrases were modified on the basis of two focus-group exercises. A final modification of the phrases was made on the basis of information gathered by interviewers from a pilot survey.

²² The original phrases are written in Spanish and for Mexican people. Thus, a person from a different culture reading the English translation could not relate to the phrases as much as a Mexican person reading the phrases in her native language and environment.

²³ This issue is illustrated in Prodicus' *Choice of Heracles*, where Heracles faces a choice between two options: Pleasure and virtue. According to Prodicus' argument, the later is 'true' happiness, while the former is 'false' happiness. This story also illustrates a more fundamental issue: The study of well-being and happiness has been dominated by a doctrinal approach, which is based on arguments that may sound reasonable or unreasonable within a given cultural, political, and historical context. This paper follows a different approach, it studies happiness on the basis of an inferential and bottom-up analysis (See Rojas, 2004b). The approach is useful to understand a person's well-being within her cultural, political, and historical context.

²⁴ If this were the case then it would be possible to increase a person's happiness by modifying her conceptual referent, which could be a more efficient option to the strategy of increasing happiness through economic growth, which has proven to be very inefficient. However, more research is needed on whether it is possible to change a person's conceptual referent and how it can be done. In a broad sense, the conceptual referent a person holds is part of what a person is; therefore, it could be considered as part of her personality, if personality is understood in a broad sense, comprising "not simple traits but also the goals for which individuals typically strive." (Diener, 1999, p. 224) See also Emmons (1986) and Little (1989)

²⁵ The estimated hierarchy in conceptual referents does not differ if another conceptual referent for happiness is used as the category of reference in the econometric analysis.

²⁶ Notice that under identical socioeconomic and demographic circumstances a person with a *tranquillity* conceptual referent declares the greatest happiness. However, the difference with respect to

conceptual referents such as *satisfaction*, *stoicism*, *virtue* and *enjoyment* is not statistically significant. A *Wald test* was applied to make statistical comparisons among the estimated coefficients.

²⁷ Under identical socioeconomic and demographic circumstances.

²⁸ Under identical socioeconomic and demographic circumstances.

²⁹ The Wald test for comparisons among estimated parameters does not obey to the transitivity axiom; in consequence, its capacity to rank parameters is limited.

³⁰ Section 9 presents results that can be considered as definite.

³¹ Although a relationship does exist, a clear causality can not be established. It could be the case that the conceptual referent depends, among other factors, on an exogenously established income level. But it could also happen that a person's income level depends on her exogenously established conceptual referent; for example, people with conceptual referents such as *stoicism*, *carpe diem* and *tranquillity* could pursue happiness by taking actions that do not tend to increase their income. A bi-directional causality could be expected. The study of the causality issue is a topic for future research.

³² Because this investigation uses a cross-section database, age could also be interpreted as a proxy for different cultural and upbringing conditions.

³³ The caveat mentioned in endnote 31 also applies in this case.

³⁴ In Table XI the probabilities are expressed in percentage points; hence, their sum is equal to 100.

³⁵ Notice that the issue of causality could also be discussed here: It could be that higher income and education makes people less likely to embrace a tranquillity conceptual referent for happiness; but it could also be the case that people who have a tranquillity conceptual referent are less motivated to struggle for higher income and education levels. Thus, it could happen that income and education are partially endogenous to the conceptual referent.

Abstract:

This paper puts forward *The Conceptual-Referent Theory of Happiness (CRT)*, which states that a person's conceptual referent for a happy life plays a role in the judgment of her life and in the appraisal of her happiness. A typology of eight conceptual referents for happiness is made on the basis of a review of philosophical essays on happiness.

The theory contributes to the understanding of happiness by focusing on a cognitive factor involved in the judgment process: A person's notion of what a happy life is, of what she understands for being well. Thus, *CRT* complements previous research by studying what a person thinks, rather than what she feels, at the time of appraising her life.

CRT also stresses the importance of heterogeneity; this is: the conceptual referent is not the same for every person; people have different conceptions of what a happy life is. Hence, the investigation studies the issue of superiority in the conceptual referent for happiness. It shows that no conceptual referent can be considered as superior in the sense of being associated to greater happiness. However, there are a few conceptual referents that are clearly inferior.

The investigation also studies the influence of socioeconomic and demographic variables in the conceptual referent a person holds. It shows that the probability of embracing a particular conceptual referent for happiness is contingent on a person's socioeconomic and demographic situation.

The empirical investigation is based on data from a large survey applied in Mexico.

Keywords: happiness, conceptual referent, subjective well-being.